MFANO BANK

A fictional bank for a portfolio project

INTERNAL CIRCULAR

Business account opening

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Owner	Operations
Approved by	Head of Branch Operations
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This document is fictional. It does not describe the procedures of any real bank.

Document control

What changed in version 2: Sole proprietors no longer need a business licence to open an account; a tax identification number (TIN) certificate is accepted instead. Requirements for partnerships and companies are unchanged. Staff must ask the business type before giving a documents list.

Version history

Version	Effective date	Change
1	2024-07-01	First issue
2	2026-08-15	Sole proprietors may give a TIN certificate instead of a business licence

Approval and distribution

Approved by the Head of Branch Operations. Owned by Operations. Distributed to all branches through the intranet. Printed copies are not controlled; always check the intranet for the current version.

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1. Purpose

This circular sets out how branch staff open current accounts for businesses, so that every business customer receives the same, current documents list and the bank knows who owns and controls each business it serves.

2. Scope

This circular covers sole proprietors, partnerships and limited companies. It does not cover non-governmental organisations, societies, trusts or religious bodies, which follow a separate circular. It applies to customer service officers, relationship officers, supervisors, Compliance and back office quality assurance.

3. Definitions

- **Sole proprietor:** a business owned and run by one person, who is personally responsible for its debts.
- **Partnership:** a business owned by two or more partners under a partnership deed.
- **Company:** a business incorporated as a limited company.
- **Signatory:** a person authorised to operate the account.
- **Beneficial owner:** a person who owns 25 percent or more of the business or otherwise controls it.
- **TIN certificate:** the certificate showing the business's tax identification number.
- **Mandate:** the record of who may sign on the account and the signing rules.

4. Roles and responsibilities

- **Customer service or relationship officer:** establishes the business type, gives the correct documents list, checks documents, verifies signatories, screens and risk-rates the customer and opens the account.
- **Supervisor:** authorises the account opening in core banking after checking the file.
- **Compliance:** carries out enhanced due diligence and approves or declines high-risk customers.
- **Back office quality assurance (QA):** reviews every new business account file.

5. Procedure

5.1 Establish the business type

Ask the customer which type of business it is before giving any documents list, because the list differs by type. If the customer is unsure, ask to see the registration documents.

5.2 Required documents: sole proprietor [MANDATORY CONTROL]

A sole proprietor provides: the owner's original identity document (national ID card, passport or driving licence); the tax identification number (TIN) certificate; and proof of business address issued within the last three months. A business licence is not required.

5.3 Required documents: partnership [MANDATORY CONTROL]

A partnership provides: the partnership deed; the original identity documents of all partners and signatories; the TIN certificate; a valid business licence; and proof of business address issued within the last three months.

5.4 Required documents: company [MANDATORY CONTROL]

A company provides: the certificate of incorporation; the memorandum and articles of association; a board resolution to open the account and name the signatories; the original identity documents of all directors, beneficial owners and signatories; the TIN certificate; and a valid business licence.

5.5 Verify owners and signatories [MANDATORY CONTROL]

Verify the original identity document of every owner, beneficial owner and signatory and take their specimen signatures and photographs.

5.6 Screen and risk-rate the customer [MANDATORY CONTROL]

Screen the business and every owner, beneficial owner and signatory against the sanctions and watch lists, then complete the customer risk rating in core banking.

5.7 Enhanced due diligence [MANDATORY CONTROL]

If the risk rating is high, send the file to Compliance for enhanced due diligence. Do not open the account until Compliance approves in writing.

5.8 Open the account and record the mandate

Open the account and record the mandate in core banking. The supervisor authorises the account after checking the file against this circular.

5.9 Submit the file to quality assurance

Submit the complete file to back office QA within one working day of opening. QA returns incomplete files to the branch, and the branch must correct them within five working days.

6. Exceptions and escalation

- **Missing document:** do not open the account. Give the customer the written documents list for their business type.
- **Foreign owners or directors:** a valid passport and residence permit are required, and the risk rating is reviewed by Compliance.
- **Organisations outside scope:** refer non-governmental organisations, societies, trusts and religious bodies to the relevant circular.

7. Records and retention

Account opening files: for the life of the account plus 10 years. Records are kept in the branch file room or the document management system and destroyed only under the bank's records retention schedule. Records that are part of an open complaint, dispute, audit or investigation are kept until it is closed.

8. Monitoring and quality assurance

Back office quality assurance reviews a sample of files every month against this circular and reports exceptions to the branch manager and to Operations. Repeated exceptions at a branch are reported to the Head of Branch Operations. Internal audit may review compliance with this circular at any time.

9. Related documents

- CIR-ACC-10 Individual account opening and KYC
- CIR-ACC-15 Customer information update
- CIR-CRD-21 Loan origination checklist

Appendix A: Documents checklist by business type

- Sole proprietor: owner's ID, TIN certificate, proof of business address (no business licence)
- Partnership: partnership deed, partners' and signatories' IDs, TIN certificate, business licence, proof of business address
- Company: certificate of incorporation, memorandum and articles, board resolution, directors', beneficial owners' and signatories' IDs, TIN certificate, business licence

Appendix B: Frequently asked questions

Q1. Does a sole proprietor need a business licence to open an account?

No. From version 2 a sole proprietor gives a TIN certificate instead. Partnerships and companies still need a valid business licence.

Q2. Can a company open the account before the board resolution is signed?

No. The board resolution naming the signatories is required before the account is opened.

Q3. How do we change signatories after the account is opened?

Follow CIR-ACC-15 Customer information update.